

San Miguel County Housing Code Update

Project Summary

San Miguel County is undertaking a comprehensive land use code audit and update to identify and remove regulatory barriers that constrain housing development in unincorporated areas. The San Miguel County Housing Code Update, funded through Colorado's Proposition 123 Local Planning Capacity Grant, will assess current zoning regulations, development standards, and permitting processes to identify where unnecessary complexity, costs, or delays prevent housing production and adopt changes that help accelerate affordable housing production. This project implements key recommendations from the East End Master Plan and other community planning efforts. The goal of this project is to enable more housing choices while preserving community character.

July Stakeholder Strategic Roundtable (SSR) Summary

On Thursday, July 16, the SSR met for three hours to review the Final Code Audit Report. The group largely agreed that any new flexibility such as additional dwelling units, reduced setbacks, or increased density should be tied to deed-restricted workforce housing rather than market-rate development. The group discussed current barriers to building accessory dwelling units (ADUs), including construction cost, mitigation fees, and federal tax treatment of long-term rentals, and debated how density bonuses should be structured to avoid any issues with water availability and infrastructure capacity.

Items with SSR majority consensus:

- Allow multiple dwelling units on large lots, provided the additional (bonus) unit is deed-restricted for workforce housing.
- Reduce side setbacks in Medium Density (MD) and High Density (HD) zones to 10'.
- Maintain by-right density at 1 DU/35 acres in Low Density (LD) and Medium Density (MD) zones; increase density only through a workforce housing density bonus.

The SSR will meet again on Monday, July 27 (9:00 am–12:00 pm) to refine density bonus recommendations for the LD, MD, and HD zone districts ahead of the July 29 joint BOCC/Planning Commission work session. The packet will be updated on Tuesday morning, following that meeting.

Pending Changes to Final Code Audit Report

- Incorporate all items with SSR majority consensus into the final report.
- Refine the density bonus program for LD, MD, and HD zones, including lot size and dwelling unit allowances tied to the percentage of units an applicant agrees to deed-restrict for the workforce.
- Add further clarification on tabled items that will inform future work, including a recommendation to update Section 5-13 for workforce housing needs outside the Telluride R-1 School District.
- Add redlines updating references to “live-work” units in Section 5-319.2D.III and striking “by-right” in bulk standards.